

One thing is clear, though. Low-cost carriers are scripting the story of the revival. The highest load factors in December were carried by them. IndiGo led the pack with 90 per cent load factor, followed by SpiceJet at 88 per cent and GoAir at 86.10 per cent. Jet and Air India lagged behind with 78.20 and 79.70 per cent. The yield per seat for low-cost airlines may be low at Rs 3,000 compared to Rs 4,000 for a full fare carrier. But there is a price point at which passengers choose to fly and that works for low-cost carriers in an atmosphere of uncertainty.

According to a report by the Centre of Asia-Pacific Aviation (CAPA), "The most significant recent strategic development in the domestic market is that it is rapidly turning low cost. An operating model which did not exist in the Indian market until six years ago could account for almost 70 per cent of domestic capacity within the next two-three quarters. Full service may, in future, be restricted to just a handful of services, or may even disappear." If true, that could have a huge implication for the industry. "Airlines must give the customer what he wants, and not what they want to give him," says Batra. As the airline industry matures, it may realise that frills no longer remain important. And the mantra for sustained growth is giving the fliers what they want.

The selling proposition now is on-time reliability and on-time arrival. And the low-cost carriers are taking note. On-time performance of carriers like Paramount and IndiGo has been better than that of the full service carriers. Curiously, there is also a new emerging segment which is catered to by airlines like Paramount, GoAir and IndiGo. Not no-frills and not premium

“I hope the industry is more cautious in adding capacity this time around.”

SANJAY AGGARWAL,
CEO, SpiceJet

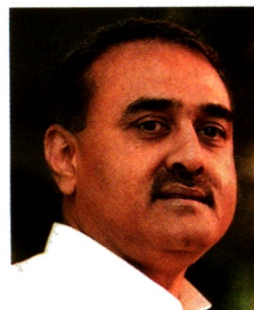


“The customer wants value for his money. Cost in itself is not a huge factor.”

M. THIAGARAJAN,
MD, Paramount Airways

“Our aim is to get more unique people to fly. They will drive the growth.”

JEH WADIA,
MD, GoAir



“Our airport modernisation plan will help complete the circle of the industry's growth.”

PRAFUL PATEL,
Civil Aviation Minister

either, these airlines have focused on reliable performance and offer business class ambience at affordable prices. M. Thiagarajan, managing director of Paramount Airways, says his airline is very popular with corporates. "It was very demotivating for executives to fly low-cost carriers. So they switched to Paramount." Jeh Wadia, managing director, GoAir, believes small entrepreneurs are a new seg-

ment contributing to the airline's growth. "This segment did not exist previously due to high fares on the full service carriers. If they travelled once a month, today it is once a week," he says.

Furthermore, the industry is gearing up for a period of good growth. CAPA predicts the domestic segment could grow by 15 per cent over the next two years and international by 10 per cent, while Boeing India expects orders for 1,000 aircraft worth \$100 billion from Indian companies in the next 20 years. Buoyed by this outlook, airlines are now planning the next phase of growth. SpiceJet and Paramount are firming plans to fly abroad by the end of the year even as they expand their footprints nationally. GoAir is expecting delivery of 12 new aircraft in the next two years.

Much of the optimism about growth, however, is harboured in the hope that crude prices don't vault again. If the airlines manage to stay the course on costs and do not get indulgent, there is enough growth for all airlines to share. While in the US, there are three aircraft seats per year for its 300 million population, India's 1.1 billion population has only 0.1 seats available per person. "The 40 million passengers are but a drop in the ocean," says Wadia. "Look at the untapped opportunity. Once people have travelled by air, how many will want to get

back to rail or bus travel." Five years ago, close to 80 per cent of air travel in India was for business; today that figure is less than half. Add the new emerging centres of traffic, the small towns. As airport infrastructure and connectivity improves on these sectors, aviation growth will get the diversity much needed for sustained growth.

And Indian carriers can get ready to take off in a big way. ■